Optimizing ACH with Plaid's Billing & Recurring Payments Solution

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U.S. companies that process recurring or subscription payments—such as telecoms, insurance providers, and property tech platforms—rely heavily on Automated Clearing House (ACH) transactions.

In 2024, U.S. consumers sent a total of $11 trillion worth of bill payments via the ACH network, according to Nacha, the organization that runs it.

ACH payments are transferred directly from customers' bank accounts, offering billers significant savings over credit and debit cards—up to 40 percent lower processing fees in many cases—while eliminating the risk of payment failure due to expired card information. ACH acceptance can also give customers a convenient way to pay loan-related bills that can't be paid via credit card, and help billers comply with laws in some states that promote the availability of a fee-free payment method option.

While these advantages have made ACH a mainstay payment channel for billers, other factors have traditionally hindered its broader adoption for payments. Chief among these is the risk of returns due to incorrect account information, insufficient funds, or fraud, as well as a more cumbersome user experience that can deter customers from choosing ACH in the first place—leading them instead to higher-cost methods such as credit and debit cards.

To fully capitalize on ACH, billers must confront these friction points that quietly erode its value. Today's billers are facing growing cost pressures, while the rise of open banking is driving consumer demand for the ability to pay with a bank account as easily as a card. Taken together, these factors make clear that the time is now for billers to offer modernized bank payments.

An optimized ACH billing framework delivers a fast, seamless experience that encourages more customers to pay from their bank accounts. At the same time, it gives billers the intelligent, flexible risk tools they need to drive higher payment success at a lower cost.

Plaid's Billing & Recurring Payments solution offers just such an ACH experience, simplifying onboarding, reducing return risk, and improving conversion rates. In turn, billers can drive savings, streamline operations, and improve customer satisfaction.

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The problems with legacy ACH solutions for recurring billers

Recurring billers face significant issues when relying on legacy ACH payment frameworks. These challenges directly impact revenue reliability, customer satisfaction, and operational efficiency. “A lot of recurring billers are utilizing ACH payments, but in a way that doesn’t enable them to capture the full value of that opportunity,” said Serena Ng, who leads payments product marketing for Plaid. “The time is now for companies to upgrade their ACH operations and achieve a more successful recurring billing strategy.”

The key issues with a legacy approach to recurring ACH billing can be broken into a few main categories:

Adoption and conversion challenges

Legacy ACH payment mechanisms suffer from a cumbersome, outdated user experience that hinders adoption of ACH, instead driving customers toward payment methods, such as credit and debit cards, that result in higher fees for merchants.

Traditional ACH enrollment requires customers to locate and manually enter their bank account and routing numbers—a tedious process that feels outdated compared to the seamless experience of paying with saved card information.

“It’s very annoying and inconvenient for consumers who otherwise might want to enroll in ACH to have to go find their bank account number and routing number and enter them manually,” said Ng.

Manual entry of these lengthy numbers is also highly prone to errors, failed enrollment, and customer frustration, while verification of microdeposits to ensure the account is legitimate can take one to three business days.

This multi-step, high-friction process can drive user abandonment and significantly hinder ACH conversion rates—and when successfully enrolled customers change banks or accounts, they must complete the entire setup process yet again.

These challenges explain why many billers continue to see stubbornly high card usage despite the substantially higher processing costs of 1.5 to 3.5 percent for credit cards versus the minimal fees associated with ACH payments.

Payment return risk

Unlike credit or debit cards, which can be verified for sufficient funds and charged instantly, ACH payments take one to three days to fully process and settle. This delay creates some critical vulnerabilities. For instance, if the customer spends the funds elsewhere before settlement, the bank can return the payment for insufficient funds, exposing the merchant to penalty fees and the customer to overdraft penalties.

This common scenario can be highly costly in terms of customer service resources and damaging to the customer-biller relationship. Additionally, Nacha limits merchants to just two retry attempts after an insufficient funds return, a constraint that reduces the likelihood of successful collection and forces billers to pursue more expensive recovery methods.

“It’s very frustrating and operationally costly for billers to deal with insufficient funds returns,” noted Ng. “They have to essentially chase a customer for the payment, which takes up valuable time and resources.”

For recurring billers, the delayed ACH settlement window represents an ongoing monthly risk rather than a one-time concern. Nacha also enforces strict return rate thresholds that billers must maintain; excessive returns can trigger penalties and potentially jeopardize a company’s ACH processing capabilities altogether.

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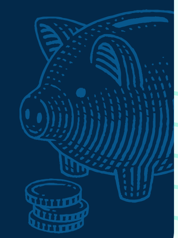

Fraud vulnerability

Delayed settlement and lack of real-time verification also leave ACH systems vulnerable to various fraud schemes. These include first-party fraud such as “ghost funding,” in which fraudsters initiate transactions without sufficient funds to access services before the payment is returned, as well as false transaction disputes in which a customer fraudulently disputes a payment they did authorize, or falsely claims a service was not delivered.

ACH payments also can be susceptible to third-party fraud, such as account takeover or a fraudster using compromised account info to make unauthorized ACH payments without the consumer’s knowledge.

For recurring billers, these fraud patterns can be particularly damaging when subscription services continue despite payment failures, creating compounding losses across multiple billing cycles before detection.

For billers looking to modernize their recurring payment operations, addressing these legacy ACH issues is critical to improving both customer experience and their bottom line.

The benefits of optimized ACH for recurring payments

Plaid's Billing & Recurring Payments solution combines multiple tools and capabilities to improve ACH for billers and their customers, solving the method's key challenges by reducing failed payments, mitigating fraud, and offering a seamless, user-friendly experience to maximize enrollment and conversion.

"The number one thing billers want is more successful payments," noted Ng. "That means they have to get customers to choose ACH bank payments, successfully link their account, and then complete a successful payment. Companies need an end-to-end solution that addresses all of these steps."

This optimized, end-to-end ACH framework drives significant benefits for billers, including more predictable revenue, valuable operational efficiencies, and significantly reduced payment acceptance costs. Here's how Plaid does it:

Driving adoption and conversion with a better UX

With Plaid's Billing & Recurring Payments solution, customers no longer need to track down and manually enter routing and account numbers when connecting their bank accounts.

Instead, Plaid retrieves this information directly from their financial institution via open banking-powered embedded search functionality. This functionality integrates into a biller's application and provides a customizable financial institution search with branded logos for more than 12,000 banks and credit unions. From there, users can easily find their financial institution and enter their login credentials, without leaving the biller's platform. Plaid's Instant Authorization flow then automatically verifies that the account and routing numbers are valid.

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By making the account connection and authentication process digital, contextual, and seamless, the combination of Plaid's Embedded Search and Instant Authorization capabilities have been shown to **drive 15 percent higher conversion rates** compared to industry averages, while reducing returned payments by 40 percent.

Plaid's "Remember Me" feature streamlines the onboarding process even further for users who have previously connected a financial account with Plaid—a segment that comprises more than half of Plaid's overall user base. Repeat users can associate their phone numbers with the accounts they've connected to various financial apps or services. Once enrolled, users can quickly connect those same accounts to other financial services in the future by using a one-time password—resulting in an even simpler experience that boosts conversion rates by another 25 percent.

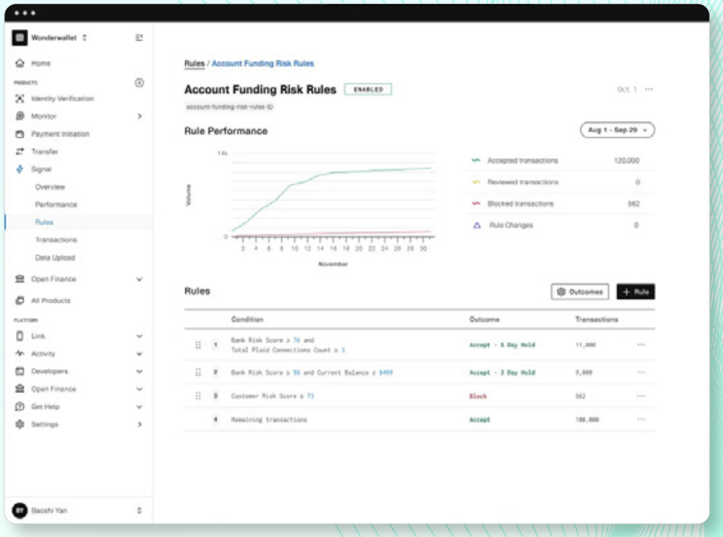
"Customer expectations around the payment experience are heightened," noted Ng. "There's the feeling that paying bills via ACH should be as simple and repeatable as any other type of payment, so that's the level of experience you have to offer to truly drive adoption and continued use."

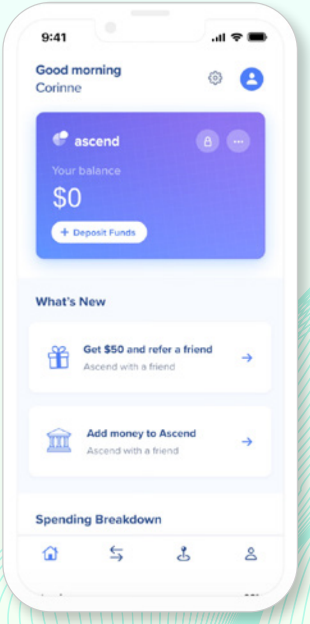
Reducing returned payments

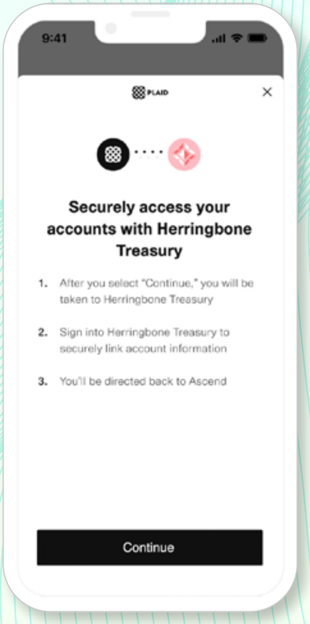
Plaid's ACH transaction risk assessment tool, Signal, leverages machine learning to assess the likelihood that an ACH transaction will be returned for insufficient funds, fraud, or administrative reasons.

Leveraging more than 1,000 separate risk attributes, Signal can predict how likely a given ACH payment is to result in a customer or bank-initiated return. This risk score is based on a range of factors, including the account's history of identity changes, previous ACH returns, and account behavior across the Plaid network.

"Through the account's history on the Plaid network and consumer-permissioned account data, we're able to assess whether an ACH transaction is likely to succeed based on a number of key factors that may affect the risk of a payment being returned for a range of reasons," Ng explained.







Billers can then use these risk scores to proceed with payments or to route customers to appropriate authentication steps based on their risk profile. For example, transactions with risk of fraud can result in users being prompted to perform an enhanced verification, and transactions with risk of return for insufficient funds may lead to an account balance check to confirm funds before the payment is run. Billers can also leverage Signal information to choose whether or not to retry a failed transaction and the optimal time to do so.

At the same time, Signal's risk assessment can be used to choose the appropriate payment channel for a given transaction. For instance, billers can opt to process transactions predicted to settle without issue over ACH rails, while those deemed riskier from a settlement perspective can be routed through more costly but lower-risk payment card networks.

By offering this dynamic, intelligent payment-acceptance capability, Signal gives billers the flexibility to strike the right balance between payment certainty and cost efficiency—ultimately achieving the highest success rate at the lowest possible cost.

Ready to get started with Plaid Billing & Recurring Payments?

By implementing Plaid's comprehensive Billing & Recurring Payments solution, billers can transform their ACH operations by increasing adoption, reducing returns, minimizing risk, and delivering superior experiences that build customer loyalty—all while reducing operational costs.

For billers seeking to reap these benefits, getting up and running with Plaid's Billing & Recurring Payments solution is easy. Plaid offers a simple set of UI experiences and SDKs that enable installation by implementing just a few lines of code. Meanwhile, Plaid handles the behind-the-scenes complexity covering all the bank and connection options.

Once Plaid's solution is installed, a user-friendly dashboard enables clients to configure the right options for account verification and risk rules for their business, review performance, and make updates with no coding required.

If you're a biller interested in capturing the full potential of better ACH payments, you're in good company. Plaid's Billing & Recurring Payments solution is already being used by enterprise firms including three major telecoms and a Fortune 100 insurance provider, along with leading industry disruptors in proptech, insurtech, health and wellness, and more.

To learn more about how Plaid can help optimize your company's billing and recurring payments operations, get in touch today.

Talk with our team

About Plaid

Plaid powers the digital finance ecosystem by connecting the world's leading companies with more than a hundred million consumers for easier, faster, and more secure user experiences. From fast-growing startups to innovative neobanks to global enterprises, thousands of companies rely on Plaid to onboard more customers, fight fraud in real time, and move money safely and securely.

Today's consumers expect financial services to be quick, simple, and secure. Plaid solves this by helping them safely connect their financial accounts to apps, verify their identity in 10 seconds or less, send and receive payments, and seamlessly navigate the world of financial services so that they can focus onreaching their financial goals.

Get started at plaid.com

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